IMC 426
Customer Value Innovation

Spotify Case

Minko Ma

April 2026



Executive Summary

Spotify is no longer competing only in music streaming. It is competing for user attention across formats.

- Spotify is evolving from a music streaming service into a **multi-format content platform** (music + podcasts + video + audiobooks) to deepen engagement and monetization
- Its core advantage is **data-driven personalization + ecosystem orchestration**, enabling strong **habit formation and network effects**
- However, **competition is shifting from audio to video ecosystems** (e.g., YouTube), forcing Spotify to expand beyond music
- **Future success depends on owning user attention** across formats, not just streaming audio

Jobs to be done

Functional

- Access personalized, on-demand audio/video content anytime
- Discover new content efficiently (reduce search cost)

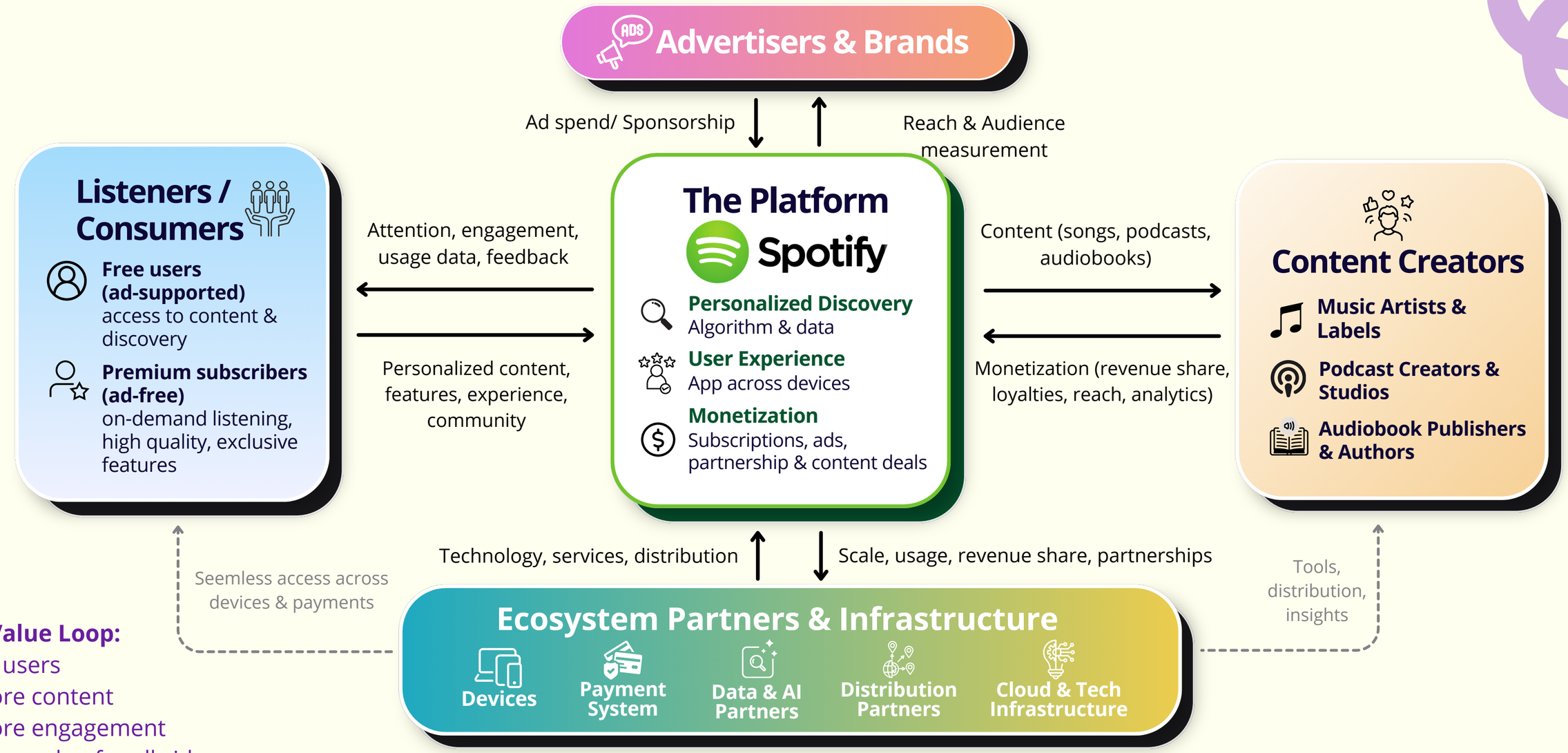
Emotional

- Feel entertained, understood, and “in tune” with personal identity
- Stay culturally relevant (e.g., sharing playlists, Wrapped)

Social

- Connect and share identity with others through music and content
- Signal taste and cultural relevance (e.g., playlists, Spotify Wrapped)

Spotify's Multi-Sided Platform Ecosystem



The Value Loop:
More users
→ More content
→ More engagement
→ More value for all sides

What Makes Spotify Different

Data & Personalization Advantage

- Proprietary “taste graph” built from large-scale user behavior
- Enables superior content discovery (e.g., Discover Weekly, Wrapped)
- Self-reinforcing data loop improves with scale

Data → better recommendations → more engagement → more data

Habit Formation Engine

- Freemium model lowers trial barriers
- Daily usage habits built through personalization
- Smooth conversion to premium increases CLV

Trial → Habit → Subscription

Social & Cultural Embedding

- Playlists, sharing, and Wrapped enable identity expression
- Music consumption becomes social signaling
- Deep integration into users’ cultural and social lives

Spotify is not just a utility, but a cultural platform

Cross-format Ecosystem Expansion

- Music + podcasts + audiobooks increase time spent
- Expands from “music streaming” to “attention platform”
- Drives retention and reduces switching

One platform → multiple content habits → higher lock-in

Multi-sided Network Effects

- More users attract more creators and content
- More content improves user experience and engagement
- Feedback loop strengthens platform value over time

Note: Network effects exist, but are weakened by multi-homing

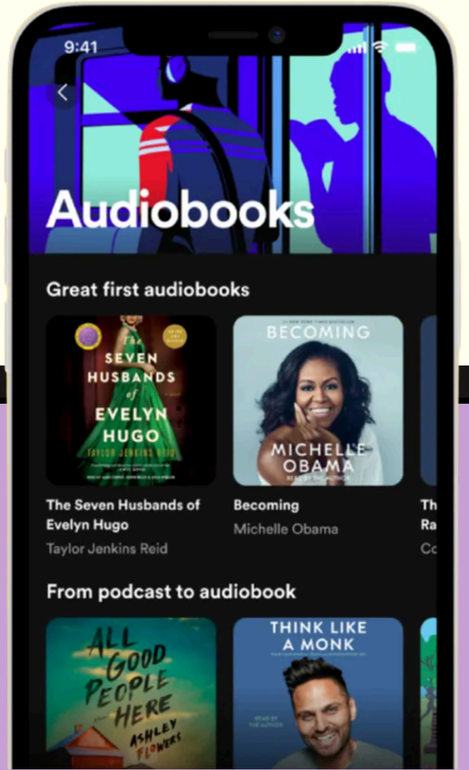
Why Expand Beyond Music?

1 Capture More Attention & Deepen Habits

- Expanding into video and audiobooks increases total time spent on the platform
- Embeds Spotify into more daily contexts
- Strengthens habit formation and raises switching costs
- Freemium → Trial → Habit → Subscription (CtC funnel)

2 Monetization Diversification & ARPU Growth

- Moves beyond music subscriptions to ads, premium tiers, and content deals
- Bundling multiple formats increases perceived value of subscription
- Supports more sustainable unit economics



3 Market Expansion

- Audiobooks and video unlock new user segments and use cases
- Attracts users who may not have been primarily music listeners
- Drives incremental engagement rather than cannibalization

4 Defend Against Platform Competition (YouTube)

- YouTube's dominance in video podcasts threatens Spotify's position
- Expansion into video and creator monetization is a direct response
- Competing ecosystems, not just products

Key insight:
Spotify is most vulnerable where creators multi-home and user attention shifts — disruption will come from redefining value capture, not better streaming, but by reshaping how content is created, monetized, and experienced.

How Could an Insurgent Disrupt Spotify?

Creator-First Platform (Supply-Side Disruption)

- Offer higher payouts + direct fan monetization
- Attract niche creators underserved by Spotify
- Use multi-homing to pull creators and audiences

YouTube shares ~55% of ad revenue with creators vs. lower payouts on streaming platforms

AI-Native Content Platform (Technology Disruption)

- Generate personalized music on demand (no catalog needed)
- Shift from discovery to creation
- Reduces reliance on licensed content and traditional artists

AI-generated music tools are scaling rapidly, pushing marginal content costs toward ~0

Social / Community-First Platform (JTBD Disruption)

- Build around co-listening, sharing, and interaction
- Capture Gen Z and niche communities
- Redefine music as a social experience

30% of Gen Z podcast users primarily watch video, not just listen

Borcelle

Overview

Learn More

- Introduction
- Problem Statement
- Our Innovative Solutions
- Discover Our Services
- Size of Market
- Direct & Indirect Competitor
- Key Competitive Advantages
- Traction
- Accomplishments Date
- Use of Funds

Borcelle

10%

Problem Statment

150 K

People Joined

Size of Market

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit, at varius purus elementum.

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam.

Learn More

Borcelle

Direct Competitor

- Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam.

- Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam.

Indirect Competitor

- Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam.

- Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam.

Borcelle

Key Competitive Advantages



Advantage 01

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit.

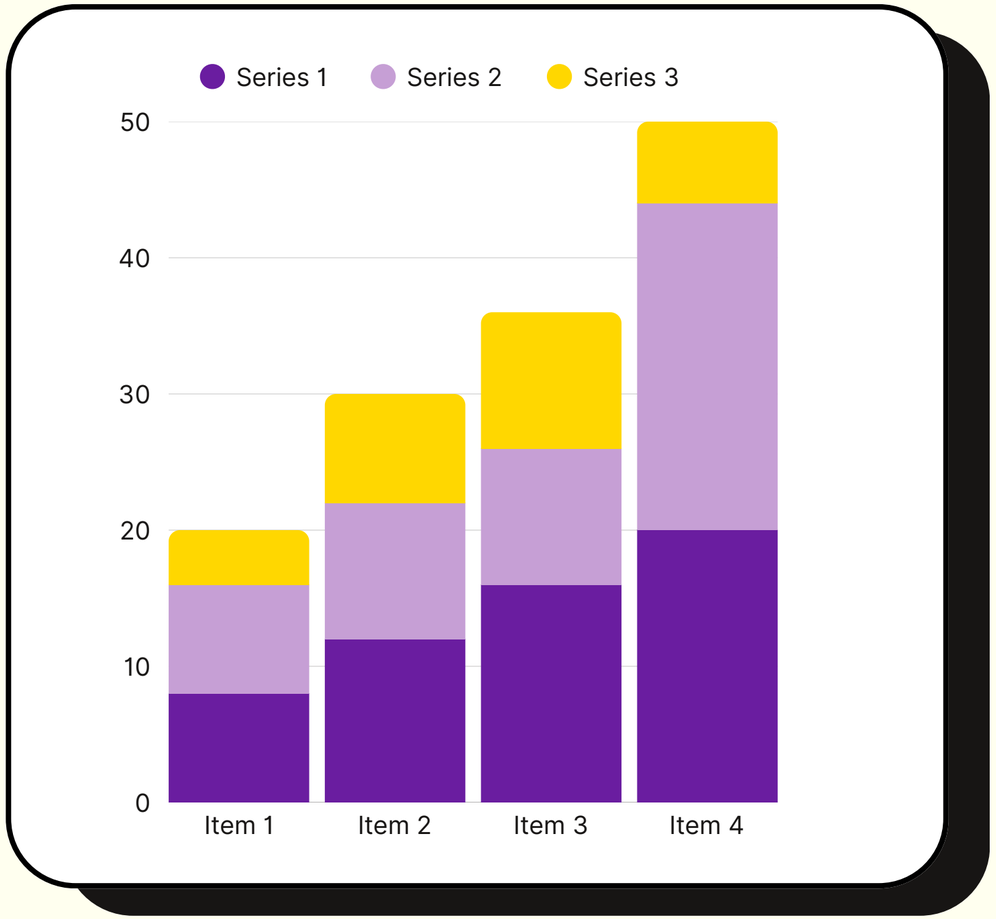
Advantage 02

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit.

Advantage 03

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit.

Borcelle



Traction

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit, at varius purus elementum.

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam.

Learn More



Accomplishments Date

Learn More

2025

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit.

2022

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit.

2018

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit.

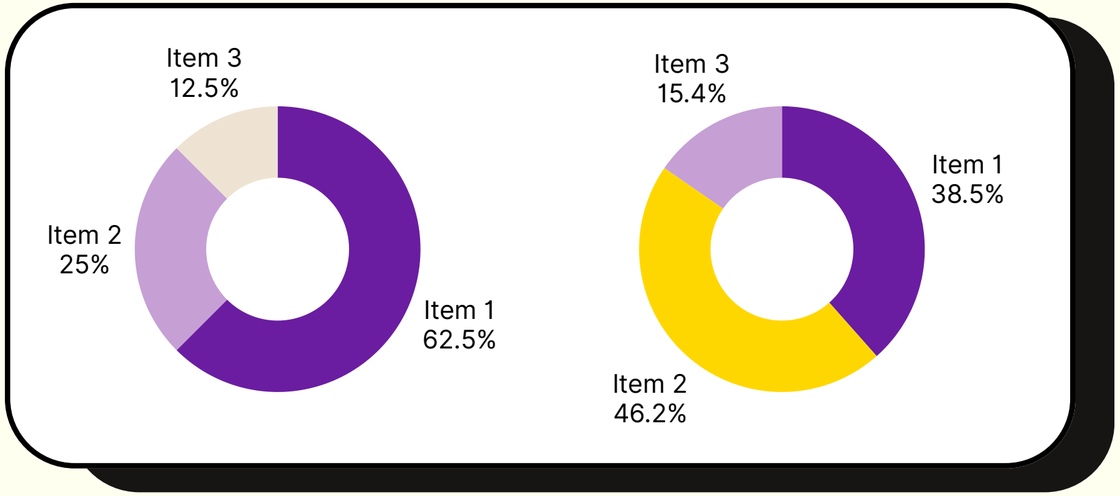
Borcelle

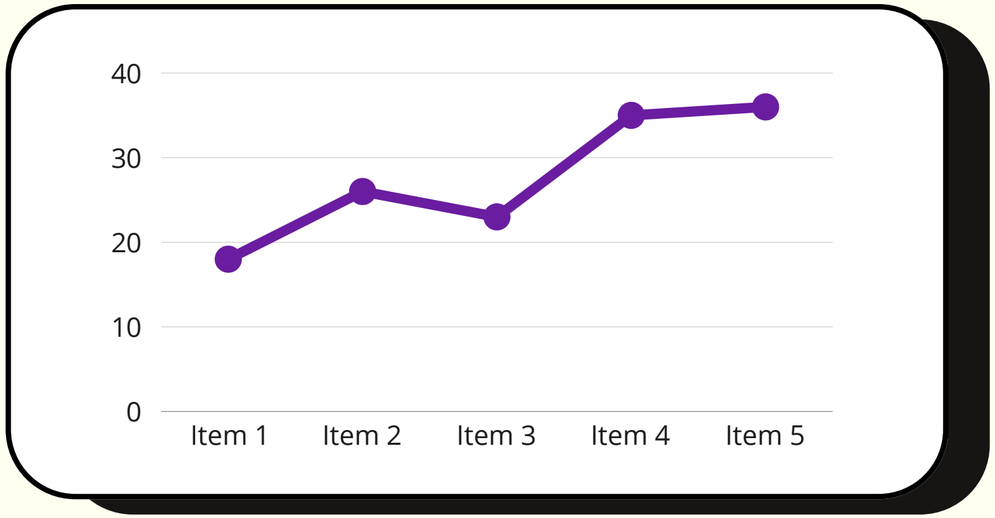
Traction

Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit, ut posuere erat aliquam. Praesent auctor tellus eget nisl blandit, at varius purus elementum.

- Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit.
- Lorem ipsum dolor sit amet, consectetur adipiscing elit. Quisque molestie nisl eu sem tristique, sit amet convallis ex aliquam. Maecenas varius lectus hendrerit augue blandit.

Learn More





Borcelle

Thank You

+123-456-7890

hello@reallygreatsite.com

Presented By :

July 9, 2025

